

Cornerstone Brokerage & Trust

2025 Consolidated Form 1099 — Tax Reporting Statement

Recipient: **Earl R. Castellano** Account: ****-3162 Recipient's TIN: XXX-XX-9032 Payer's Fed ID: 04-3618827

Summary of Reportable Tax Information

Form / Box	Description	Amount
1099-DIV 1a	Total ordinary dividends	2,400.00
1099-DIV 1b	Qualified dividends	1,800.00
1099-DIV 2a	Total capital gain distributions	0.00
1099-DIV 5	Section 199A dividends	500.00
1099-DIV 7	Foreign tax paid	0.00
1099-INT 1	Interest income	850.00
1099-INT 8	Tax-exempt interest	400.00
1099-B	Proceeds from sales (see detail)	7,980.00
1099-B	Net realized gain/loss — long term	1,500.00

Form 1099-DIV — Dividends and Distributions (2025)

Box	Description	Amount
1a	Total ordinary dividends	2,400.00
1b	Qualified dividends	1,800.00
2a	Total capital gain distributions	0.00
3	Nondividend distributions	0.00
5	Section 199A dividends (REIT)	500.00
7	Foreign tax paid	0.00
12	Exempt-interest dividends	0.00

Dividend detail by security

Security	Ordinary (1a)	Qualified (1b)	§199A (5)
Schwab US Dividend Equity ETF (SCHD)	1,340.00	1,340.00	0.00
Vanguard Total Stock Market ETF (VTI)	460.00	460.00	0.00
Realty Income Corp (O) — REIT	500.00	0.00	500.00
Apple Inc. (AAPL)	100.00	0.00	0.00
Totals	2,400.00	1,800.00	500.00

Note: Section 199A dividends shown in box 5 are a subset of box 1a ordinary dividends and may qualify for the 20% qualified business income deduction even if you claim the standard deduction. REIT dividends are generally NOT qualified dividends and are included in box 1a but not box 1b.

Form 1099-INT — Interest Income (2025)

Box	Description	Amount
1	Interest income	850.00
3	Interest on U.S. Savings Bonds and Treasury obligations	0.00
4	Federal income tax withheld	0.00
8	Tax-exempt interest	400.00
13	Bond premium on tax-exempt bond	0.00

Tax-exempt interest (box 8) of \$400.00 was paid by the Vanguard Tax-Exempt Bond ETF (VTEB) held in your account. Tax-exempt interest is reported on Form 1040, line 2a, and is generally EXCLUDED from federal taxable income. It is also excluded from net investment income for purposes of the Net Investment Income Tax.

Form 1099-B — Proceeds From Broker Transactions (2025)

Short-term transactions for covered tax lots: NONE.

Long-term transactions for which basis was reported to the IRS (covered)

Description	Date acq.	Date sold	Proceeds (1d)	Cost basis (1e)	Gain/(loss)
30 sh VTI	2019-05-14	2025-08-22	7,980.00	6,480.00	1,500.00
Totals			7,980.00	6,480.00	1,500.00

Form 8949 mapping: report the long-term covered transaction above with box 'D' checked (long-term, basis reported to the IRS). The net long-term capital gain of \$1,500.00 flows to Schedule D, Part II, and to Form 1040, line 7. No wash sales were reported on this account. Net long-term capital gain is eligible for preferential 0%/15%/20% rates.

Instructions for Recipient

This Consolidated Form 1099 reports income and proceeds from your brokerage account for the 2025 tax year. It combines Forms 1099-DIV, 1099-INT, and 1099-B. Retain this statement for your records and use it to prepare your federal and state income tax returns.

Recipients with taxable interest and ordinary dividends are generally required to file Schedule B if the total of either exceeds \$1,500. Net capital gains and losses are reported on Form 8949 and Schedule D.

Qualified dividends and net long-term capital gains may be taxed at lower rates than ordinary income. For 2025, the 0% rate applies to the extent taxable income does not exceed \$96,700 (married filing jointly). Use the Qualified Dividends and Capital Gain Tax Worksheet or Schedule D Tax Worksheet to figure your tax.

Tax-exempt interest and exempt-interest dividends are reported for informational purposes and are generally not subject to federal income tax, but may be subject to the alternative minimum tax and must be reported on your return.

Cost basis: For covered securities, we report cost basis to the IRS. For noncovered securities, basis is provided to you for informational purposes only and is not reported to the IRS. Review all basis information for accuracy; you are responsible for reporting the correct basis.

State and Foreign Tax Information

State tax withholding: No state income tax was withheld from the income reported on this statement.

Foreign tax paid: \$0.00 of foreign tax was paid on dividends in this account for 2025. No Form 1116 or foreign tax credit is applicable.

Municipal interest by state: The tax-exempt interest reported in box 8 was generated by a national municipal bond fund. A breakdown of tax-exempt interest by state of origin is available upon request and may affect the taxability of this income for state purposes.

Backup withholding: No backup withholding was applied to this account during 2025.

Realized Gain/Loss Detail — 2025

The following detail supports the proceeds and gain/loss reported on Form 1099-B above.

Security	Qty	Acquired	Sold	Proceeds	Cost basis	ST/LT	Gain/(loss)
Vanguard Total Stock Mkt (VTI)	30	2019-05-14	2025-08-22	7,980.00	6,480.00	LT	1,500.00
Totals				7,980.00	6,480.00		1,500.00

All lots sold were covered securities with basis reported to the IRS. There were no short-term sales, no noncovered lots, and no wash-sale adjustments during 2025.

Income Summary by Payment Date — 2025

Date	Type	Security	Amount
03/15/2025	Dividend	SCHD	335.00
03/28/2025	Interest	Cash sweep	212.00
06/16/2025	Dividend	SCHD	335.00
06/30/2025	Dividend	O (REIT)	250.00
08/22/2025	Proceeds	VTI (sale)	7,980.00
09/15/2025	Dividend	SCHD	335.00
09/30/2025	Tax-exempt int.	VTEB	200.00
12/15/2025	Dividend	SCHD + VTI + AAPL + O	1,145.00
12/20/2025	Interest	Cash sweep	638.00
12/31/2025	Tax-exempt int.	VTEB	200.00

Amounts above are grouped for readability; refer to the per-form box totals on the preceding pages for the figures to use on your return. Cash-sweep interest totals \$850.00 (box 1); tax-exempt interest totals \$400.00 (box 8).

Cost Basis Disclosure and Glossary

Covered vs. noncovered securities. Under IRS regulations, brokers must report adjusted cost basis to the IRS for 'covered' securities (generally, equities acquired on or after January 1, 2011, and mutual fund/ETF shares acquired on or after January 1, 2012). All positions sold in your account during 2025 were covered.

Adjusted cost basis. Cost basis may be adjusted for wash sales, corporate actions, return-of-capital distributions, and reinvested dividends. No such adjustments applied to the sale reported this year.

Qualified dividends. Dividends are 'qualified' (eligible for long-term capital gains rates) if the underlying shares are held for more than 60 days during the 121-day period beginning 60 days before the ex-dividend date and the payer is a qualified U.S. or treaty-country corporation. REIT distributions generally do not meet this test and are reported as ordinary (box 1a) but not qualified (box 1b).

Section 199A dividends. Box 5 reports the portion of box 1a dividends that are section 199A dividends (generally REIT dividends), which may be eligible for the 20% qualified business income deduction.

Tax-exempt interest. Interest from municipal securities is generally exempt from federal income tax and is reported in box 8 of Form 1099-INT. It is reported on your return for informational purposes and may affect other calculations.

Holdings and Unrealized Gain/Loss Detail (year-end)

Security	Shares	Price	Cost basis	Market value	Unrealized G/(L)
Vanguard Total Stock Market ETF (VTI)	92	268.40	14,820.00	24,692.80	9,872.80
Schwab US Dividend Equity ETF (SCHD)	140	82.15	9,905.00	11,501.00	1,596.00
Vanguard Tax-Exempt Bond ETF (VTEB)	180	49.10	9,180.00	8,838.00	(342.00)
Apple Inc. (AAPL)	38	212.75	4,560.00	8,084.50	3,524.50
Realty Income Corp (REIT) (O)	95	58.30	5,510.00	5,538.50	28.50
Total			43,975.00	58,654.80	14,679.80

Tax-Exempt Interest by State of Source

State	Amount
Pennsylvania	148.00
New York	96.00
California	72.00
Texas	44.00
Other states	40.00
Total tax-exempt interest (box 8)	400.00

Tax-exempt interest by state may affect the portion taxable for your state return. The federal box 8 total is \$400.00.